

Michigan Exam Prep: Statutory Requirements Governing the Activities of Licensees

STUDY SHEET

Top Takeaways

You can expect to see 10 questions related to statutory requirements governing the activities of licensees on your licensing exam.

Advertising

- All advertisements related to the purchase, sale, exchange, rental, lease or mortgage of real property, or a business opportunity by a real estate broker, must include:
 - The broker's name or the name under which the broker is doing business
 - The broker's phone number or street address
 - A statement that the person advertising is a real estate broker
- Brokers can't conduct business or advertise under a name that differs from what's on their broker license. If a broker adopts an assumed name, the broker needs to notify the department of the name on the license application or within 30 days of name adoption, whichever is earliest.
- If a licensee is representing a seller under a service provision agreement, the licensee can't advertise that property as a For Sale by Owner. This is misleading and gives the public the perception that the seller isn't represented by a real estate licensee or is a real estate licensee himself.
- Any licensees selling or leasing their own property must disclose that they are real estate licensees in any advertisements they make.
- Associate brokers and salespersons must advertise under the supervision and in the name of their employing broker. Groups or teams affiliated with the same broker may also place advertisements. These advertisements must include all of the following:
 - Broker's phone number or street address
 - Broker's business name in a font size equal to or greater than the individual licensee's or team's name

Commissions and Specific Services for Which Fees May Be Charged

- Salespersons and associate brokers can only accept commission or real estate-related compensation from their employing broker.
 - If a salesperson earned a commission while licensed and associated with a broker, the broker can still pay that commission to the salesperson, regardless of whether the salesperson is still licensed at the time of payment or is employed by another broker.
 - **Example:** Lester is a salesperson with ABC Real Estate, employed by real estate broker Tom. Lester acted as a seller's agent for a transaction and secured a buyer for the property. Prior to closing, Lester transferred his license to a new broker, Dan with LMN Realty. Tom can pay the commission earned from this transaction directly to Lester (even though Tom isn't Lester's employing broker anymore) without violating any Michigan real estate laws.
 - **Example:** Will is a salesperson employed by broker Gina at Aspire Realty. Will was working as a buyer's agent in a transaction. Shortly after his buyer entered into a purchase agreement with the seller, Will left the real estate profession and no longer holds an active real estate license. Gina can pay the commission earned from this transaction to Will (even though Will is unlicensed) without violating any Michigan real estate laws.
- Fees, commissions, or other valuable considerations can't be paid to unlicensed individuals (except as noted above in the case of a formerly licensed individual). This means that a broker can't pay a referral fee to an unlicensed buyer who gave the broker a lead on a potential seller.
- Brokers can pay commissions to brokers licensed in other states, as long as that nonresident broker doesn't engage in negotiations for Michigan properties (which would require a Michigan real estate license).
- The following actions aren't perceived as real estate-related commissions or participation and can legally be made:
 - The owner or owner's agent can offer existing property tenants and those tenants may accept-compensation for referring a prospective tenant. The compensation can't exceed the value of a month's rent.
- Licensees receiving commission from a transaction can't also receive a referral fee or other compensation related to a principal securing a loan for the transaction, unless both buyer and seller provide prior written consent and the payment doesn't violate the Real Estate Settlement Procedures Act (RESPA) or other laws.
- Licensees receiving commission from a transaction may only receive a referral fee or other compensation related to title abstracts, title insurance, home warranties, or any other service needed in the course of transaction settlement if written consent is obtained from their own client and as long as the payment doesn't violate RESPA or other laws.
- Fees may be charged for specific real estate-related activities (in other words, if the activity requires a license, a fee can be charged for that service). As a reminder, these activities include:
 - Selling, buying, providing market analyses, listing, or negotiating the purchase, sale, exchange, or mortgage of real estate

- Negotiating the construction of buildings or improvements on real estate
- Leasing or renting real estate or improvements on real estate
- Engaging in property management

Disclosure/Conflict of Interest

- Licensees must always disclose when there's the potential for a conflict of interest to arise. Michigan law requires the following actions:
 - Licensees who are buying, selling, or leasing (either directly or indirectly) real property interest on their own behalf must disclose the fact that they're licensed to the property owner before entering into a purchase agreement. They may receive commission or other consideration related to the transaction, but again, prior disclosure of license status required.
 - Licensees who obtain (either directly or indirectly) the option to purchase real property from an owner who requested the licensee's services related to the property must disclose the fact that they're licensed to the property owner before entering into an option agreement.
- Licensees must maintain written proof of the disclosures and consents. The department has the authority to request to see these items to ensure compliance with the law.
- Any advertisements a licensee places must also disclose any interest the licensee has in the property.

Handling of Contracts, Documents, Listings, and Recommendations

- Licensees must provide contract parties with a copy of the service provision agreement at the time of signing.
- These service agreements must be fully completed by the licensee before any party can sign the agreement. In other words, a licensee can't leave a few items blank, have the party sign the agreement, then fill in the missing blanks.
- Service provision agreements must also include a specific expiration date. A client can't be required to notify a broker of her intent to cancel an agreement that's going to expire. Automatic renewal clauses are prohibited.
- Buyers and sellers must receive copies of signed purchase offers.
 - Licensees must deliver a copy to the buyer immediately after the buyer signs it.
 - Licensees must promptly deliver all written offers to sellers upon receipt.
- Delivery can be made in person, by mail, or electronically. Prior agreement from both parties is required to use electronic records and signatures.
- Upon offer acceptance and after all parties have signed the purchase agreement, licensees must promptly deliver signed copies of the agreement to both parties to the transaction.
- Licensees must ensure that all terms and conditions related to the transaction are included in the written agreement.
- Once a seller has accepted an offer and the agreement is fully executed, the licensee no longer needs to deliver any subsequent offers to the seller unless the service provision agreement between the seller and licensee states otherwise.

Handling of Monies and Trust Accounts

- Salespersons must hand over to their employing broker any deposits or other money related to the real estate transaction upon receipt. The law doesn't provide a specific time frame by which the delivery to the broker must be made.
- Checks should never be made payable to the salesperson, but should instead be payable to the real estate broker. The broker must deposit this money within two banking days of receiving notice that all parties have accepted the purchase offer.
 - If the purchase agreement indicates that someone other than the real estate broker will hold these moneys, the check must be delivered to the party who will hold the funds within two banking days of contract acceptance.
- Deposits can only be made into a trust or escrow account that is a non-interest-bearing demand deposit account. This money can't be deposited into a broker's personal or business account.
- Brokers can maintain more than one trust account and are permitted to have up to \$2,000 of their own money in each account to meet minimum balance requirements and to pay account fees. It's vital that brokers properly account for and maintain records of their personal money in these accounts.
- Brokers must maintain these deposits until transaction consummation or termination and in accordance with the signed purchase agreement.
 - If the disbursement of these funds is disputed, the broker must continue to keep them on deposit until a civil action resolves the dispute and directs payment to be made, or until the parties agree in writing on how to disburse the funds.
- Checks written from trust accounts must be signed by the broker or an associate broker. Co-signers are allowed, but a broker or associate broker's signature must be included.

Record Keeping

- Accurate record keeping is essential when dealing with trust funds. Records must be kept in the brokerage office and, at a minimum, include the following:
 - Chronological sequence of deposits and disbursements
 - Current balance of account
 - Deposit records must include:
 - Receipt and deposit dates
 - Name of party providing the funds
 - Seller's name

- Amount
- Disbursement records must include:
 - Disbursement date
 - Payee
 - Check number
 - Reason for disbursement
 - Amount of disbursement
- Records of receipts and disbursements must be tied to a single transaction between a buyer and seller and include the following information:
 - Names of both parties
 - Property address or legal description
 - Dates and amounts received
 - Dates and amounts disbursed, along with payee and check number
- All trust, escrow, and transaction-related records must be kept for at least three years from the record's inception date.
- The department has the right to inspect any documents or records to ensure compliance with real estate laws. Licensees are expected to cooperate during normal business hours by allowing the department access to their place of business and to the records the department wishes to see.

Inducements

- The Michigan Consumer Protection Act, which aims to protect consumers from unfair or deceptive practices, covers inducements. Generally speaking, inducements are incentives. Specifically, the act says the following is unlawful: "Representing that a consumer will receive a rebate, discount, or other benefit as an inducement for entering into a transaction, if the benefit is contingent on an event to occur subsequent to the consummation of the transaction."
 - **Example:** Curtis tells a prospective buyer that she'll receive a \$200 gift certificate if she purchases a home. This is prohibited.
 - **Example:** Marvin holds a drawing for a \$200 gift certificate at an open house. This is acceptable, provided neither winning nor the odds of winning are contingent upon a party entering into a transaction.

No Disclosure Duty Attaches to Stigmatized Property

- Real estate licensees aren't required to, nor can legal action be sought for failing to, disclose the following stigmatizing facts:
 - A former occupant of the property was or was suspected to be disabled, as defined under fair housing and civil rights laws. The Persons with Disabilities Civil Rights Act defines disability as a physical or mental condition resulting from disease, injury, birth, or functional disorder that substantially limits one or more major life activities and is unrelated to the individual's ability to acquire, rent, or maintain property.
 - The property was or was suspected to be the site of a suicide, homicide, or illegal activity but that didn't affect the material condition of the property.
 - Sex offender information that is made publicly available in accordance with Megan's Law.

Closing Responsibilities

- After a buyer and seller have entered into a purchase agreement, their agents are expected, unless this duty has been waived, to assist the parties as necessary through transaction completion.
- Licensees can't close a transaction based on any terms or conditions that differ from those in the signed purchase agreement, unless written approval is provided by both the buyer and seller. An amendment is generally permitted to provide this type of written approval.
- Brokers or associate brokers conducting the closing must provide or ensure the buyer and seller are provided with complete and detailed closing statements. These statements must be signed by the broker or associate broker and show all receipts and disbursements affecting the transaction.
 - This responsibility doesn't fall on the broker or associate broker if a title company, an agent of the title company, or other authorized licensed party is conducting the closing.

Michigan Laws and Rules

The Candidate Information Bulletin lists the Michigan Laws and Rules you should be familiar with when preparing for the licensing exam. While we've summarized the laws related to the topics included in this study sheet, you may also find it helpful to read through the laws. Check out the 'Examination Study Materials' section of the bulletin for more information.